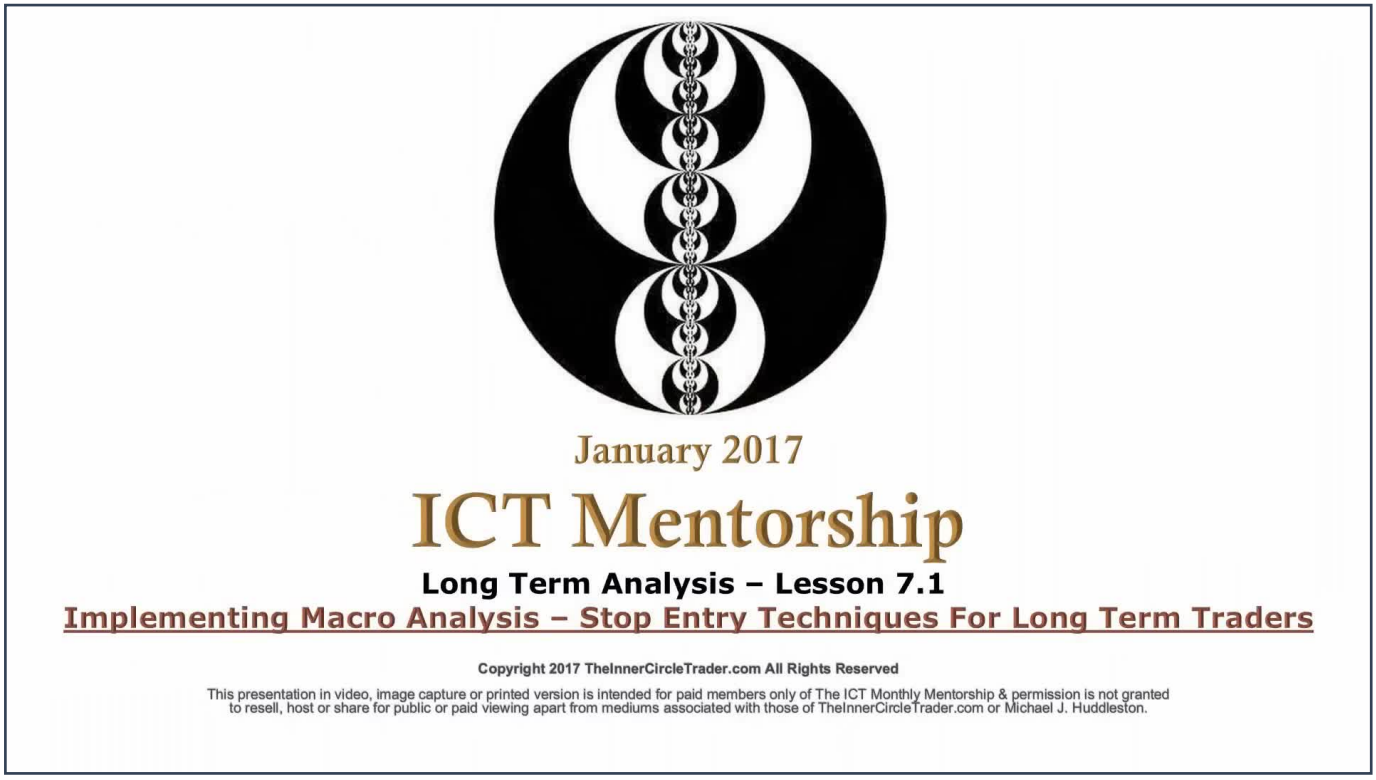
ICT MENTORSHIP CORE CONTENT

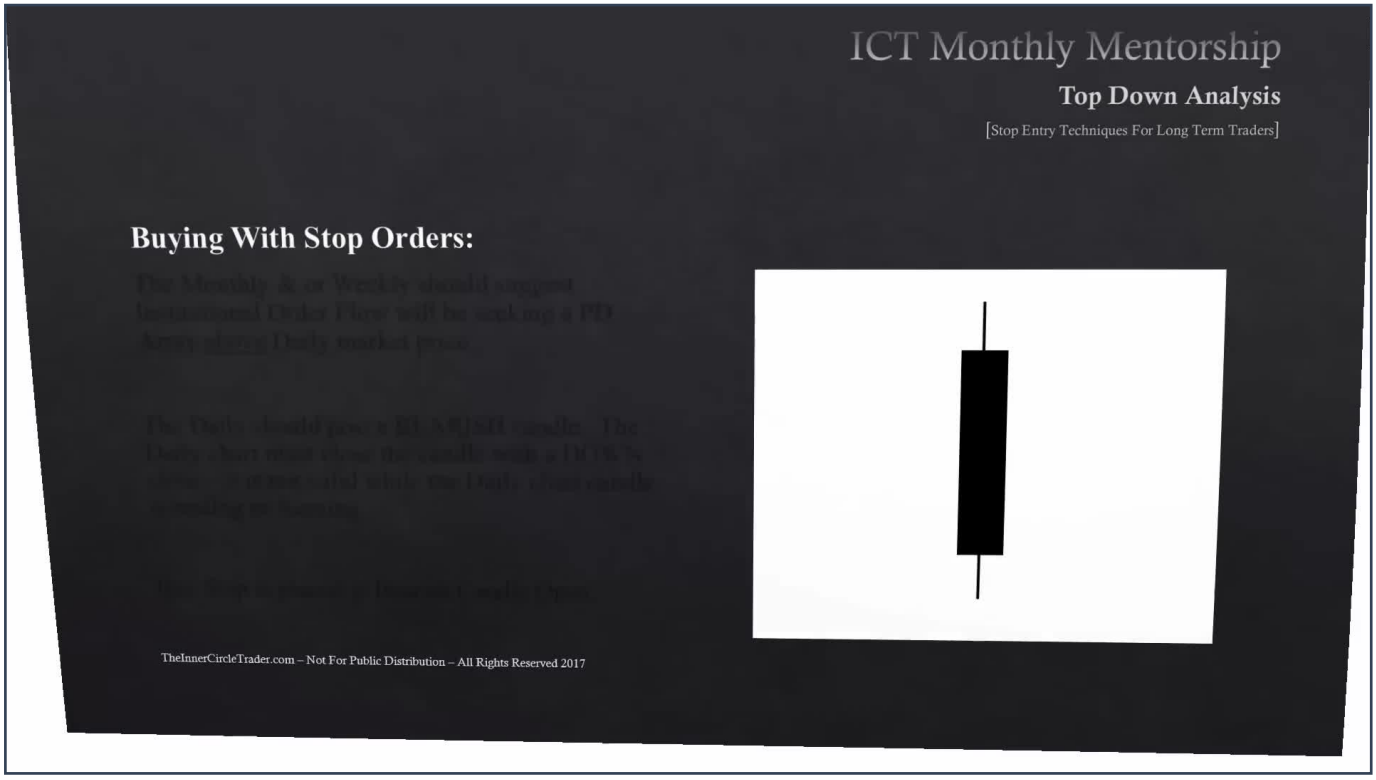
ICT MENTORSHIP CORE CONTENT - MONTH 05 - STOP ENTRY TECHNIQUES FOR LONG TERM TRADERS



Welcome back folks, this is lesson 7.1, stop entry techniques for long-term Traders.

BUYING WITH STOP ORDERS: INITIAL SETUP REQUIREMENTS

TIMESTAMP: 00:00:21



Preferably, you're going to be looking for setups to have the monthly and or weekly suggesting institutional order flow would be seeking a PD array above daily market price.

- The daily should post a bearish candle.

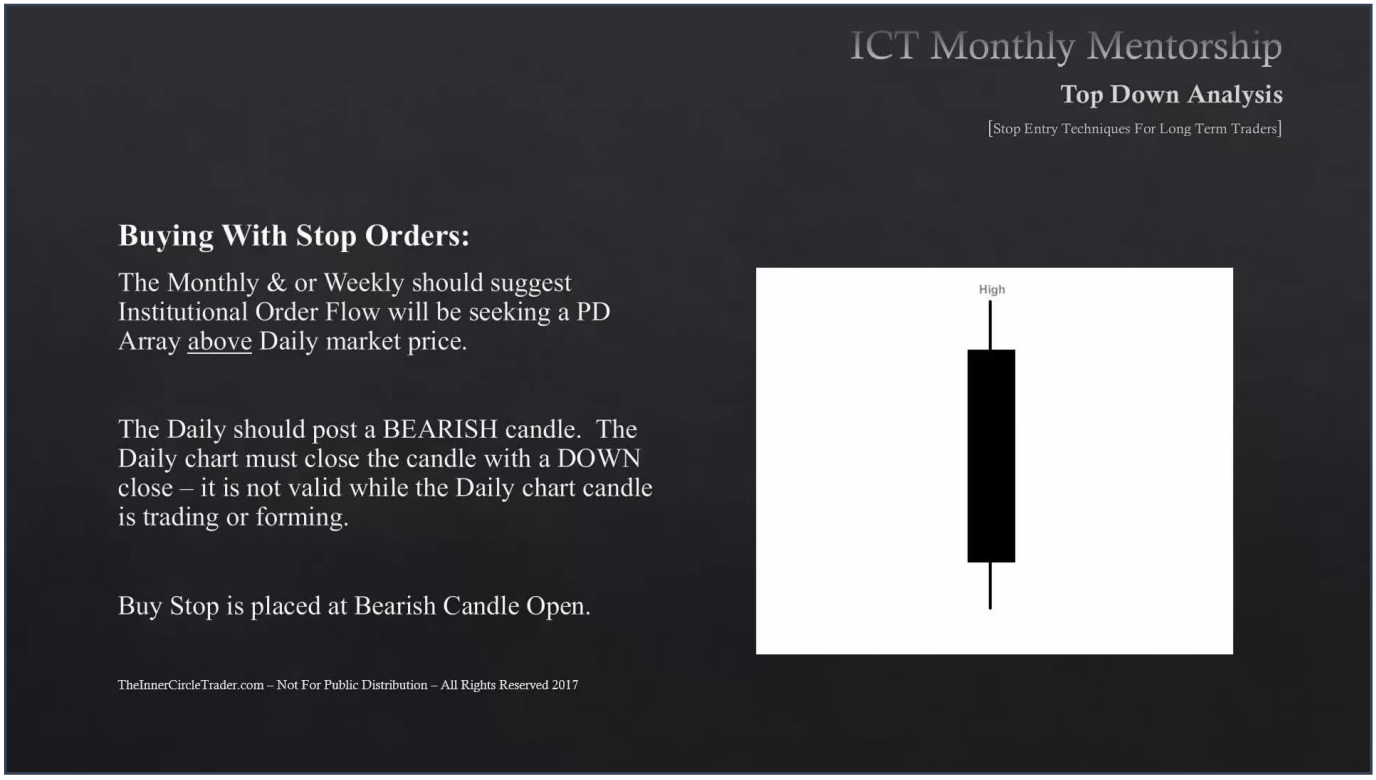
- The daily chart must close the candle with a down close.

- It is not valid while the daily chart candle is trading or forming.

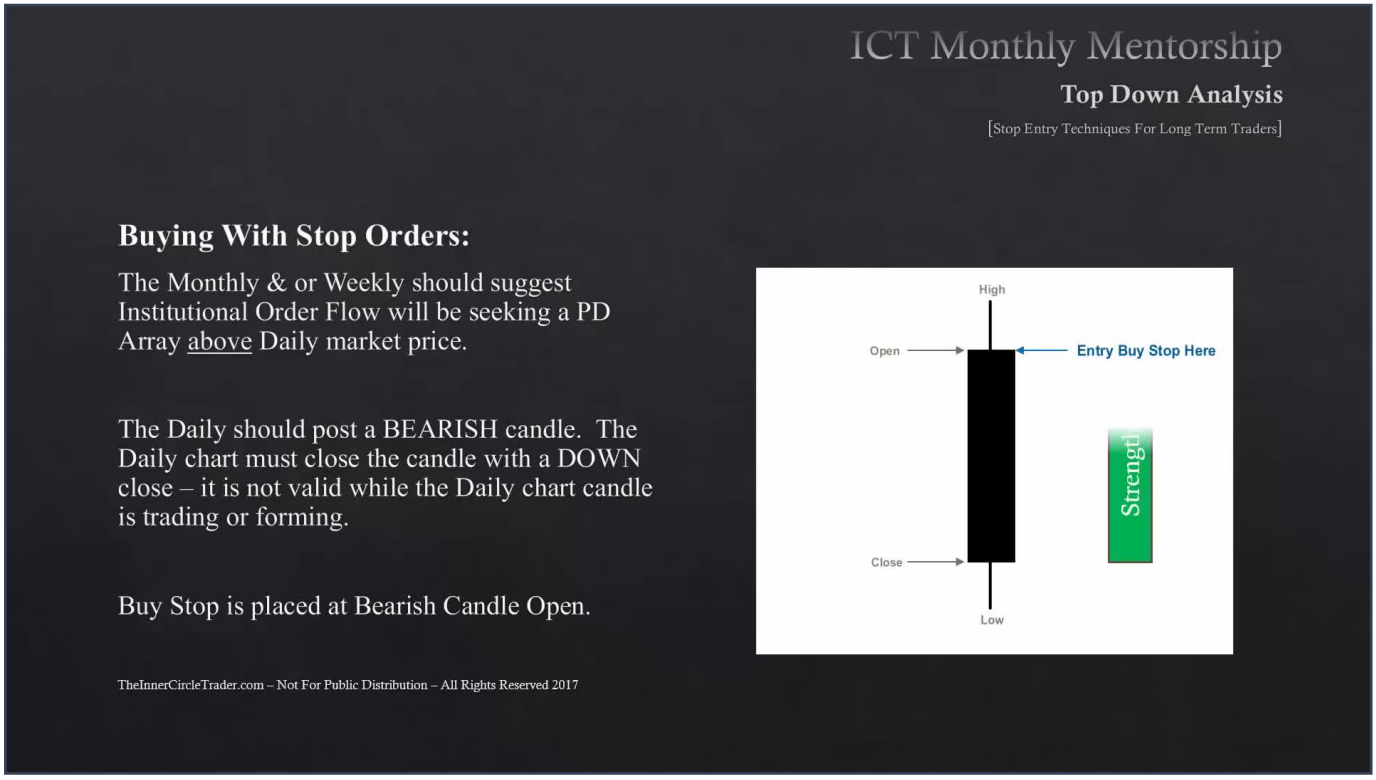
- You're going to be placing a buy stop at the bearish candle opening.

IDENTIFYING THE BUY STOP ENTRY POINT ON A BEARISH CANDLE

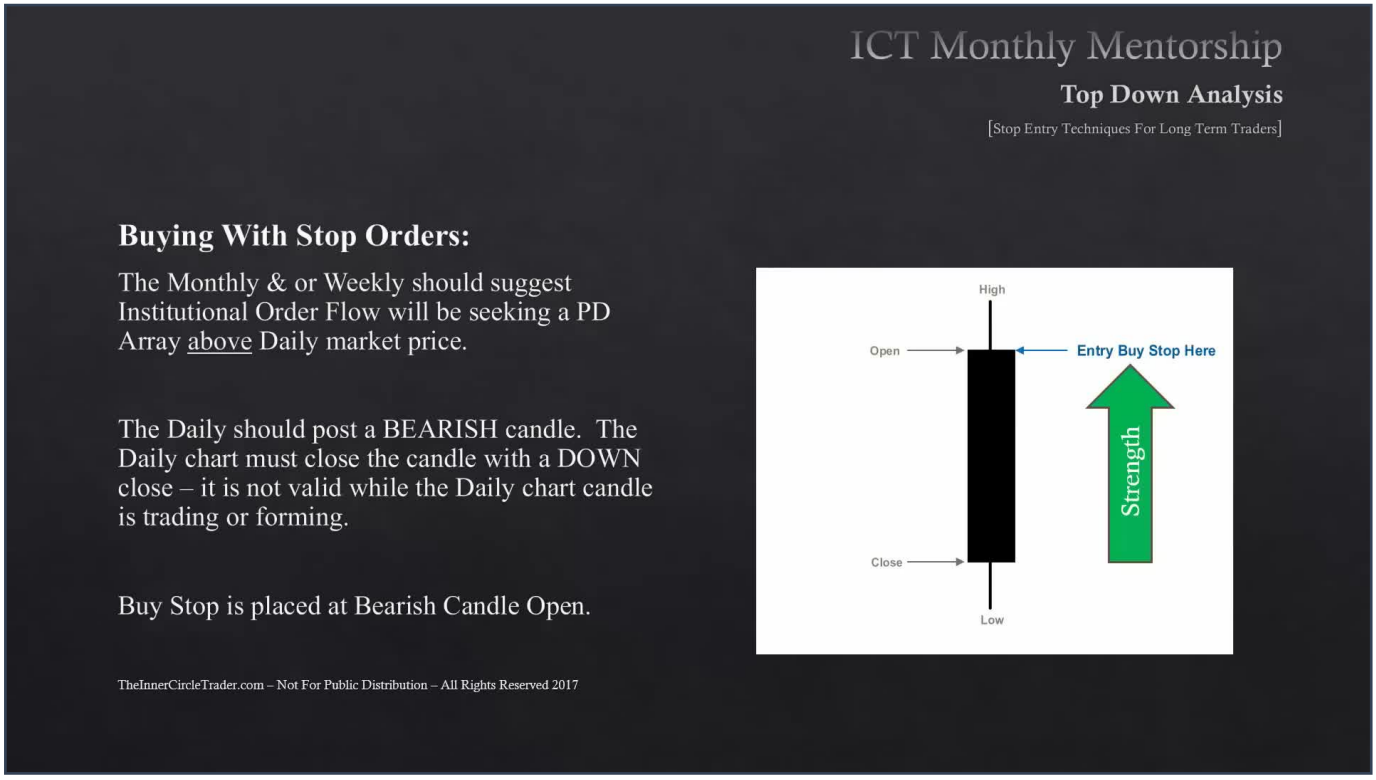
TIMESTAMP: 00:00:57



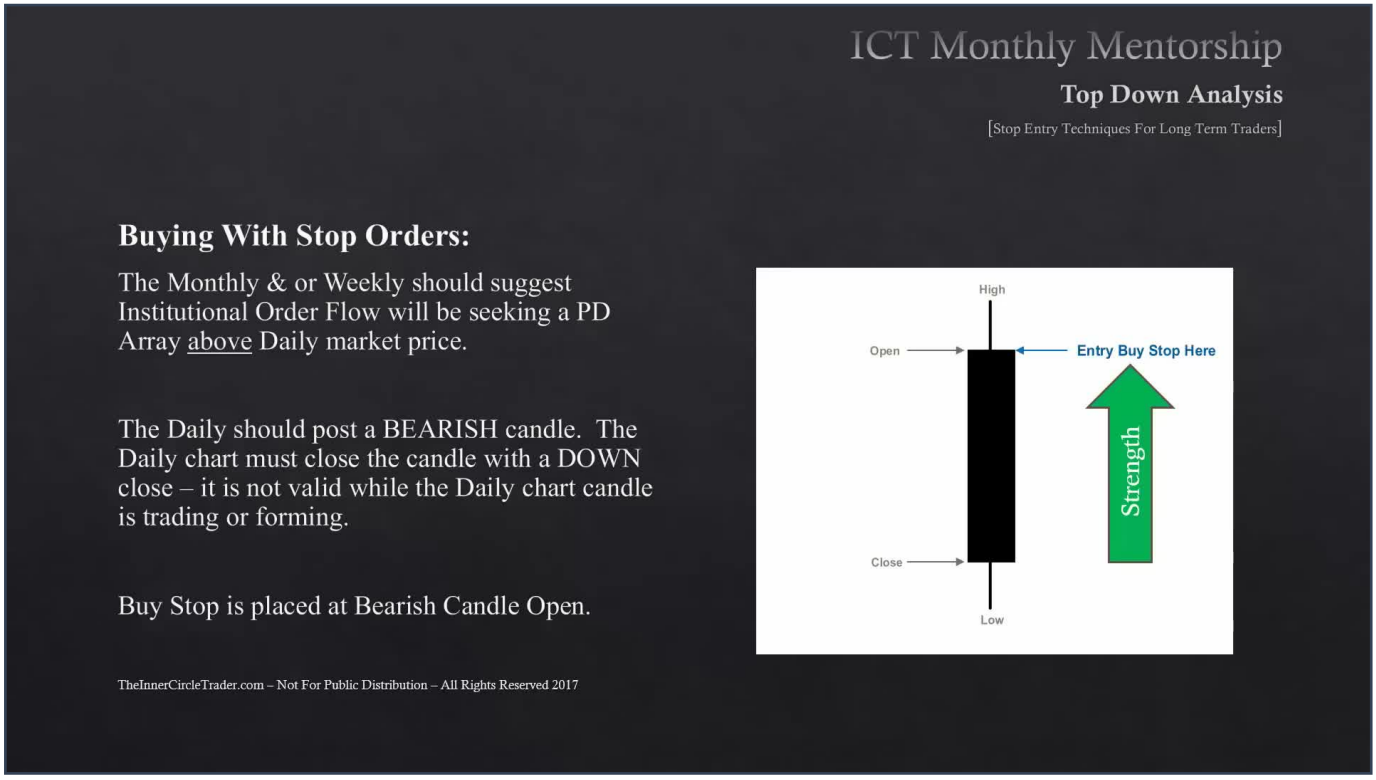
Here's the high of the candle, the low of the candle, this is the opening on the candle and here's the close. You're going to be placing a buy stop for an entry on long positions at that price right here. This is where you place your buy stop entry.



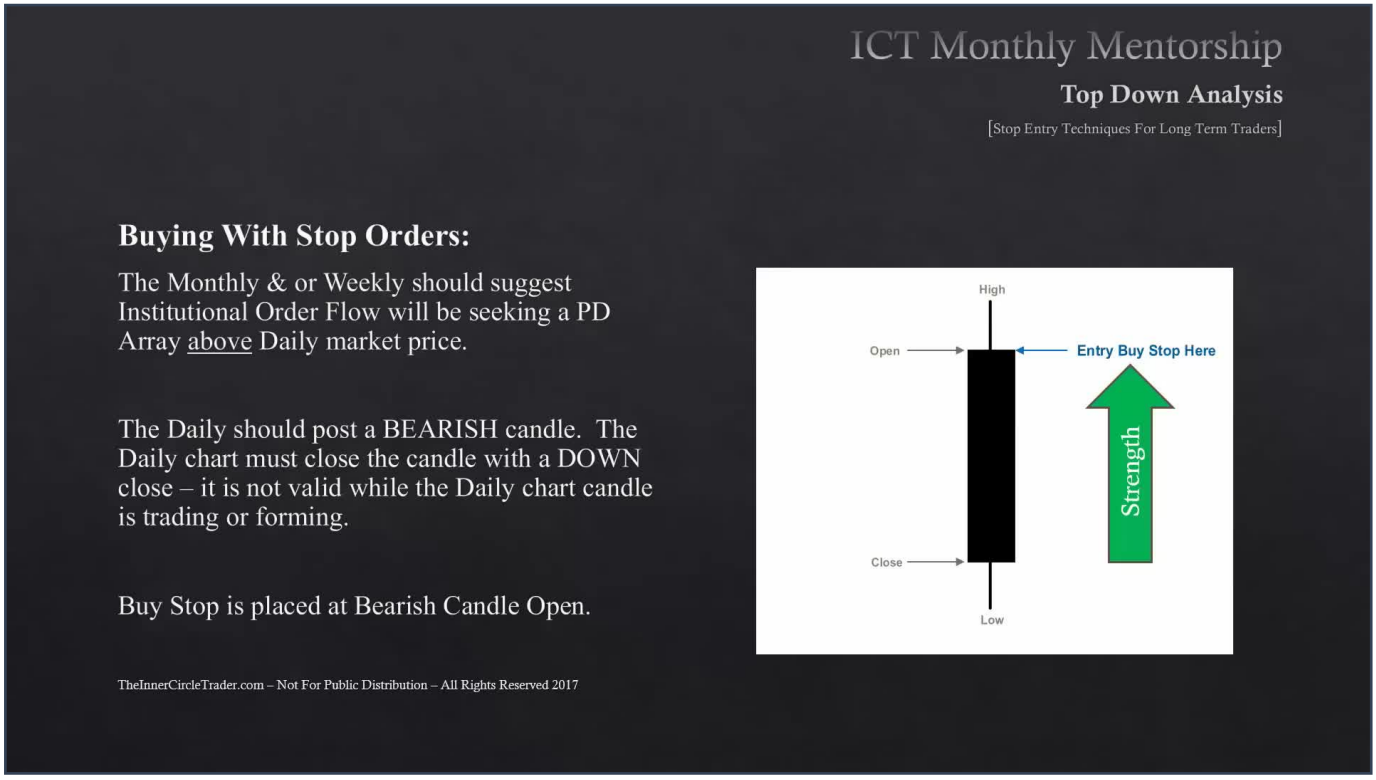
The concept is, you're going to be using strength to get you long in the marketplace. Now, you're not going to be just buying any old down candle. You're going to be looking at the PD arrays that would be in a discount market or while you're in a long-term uptrend. Every down candle promotes new buying opportunity for smart money, so you'll be using this entry technique here to get in sync with those long-term trends.



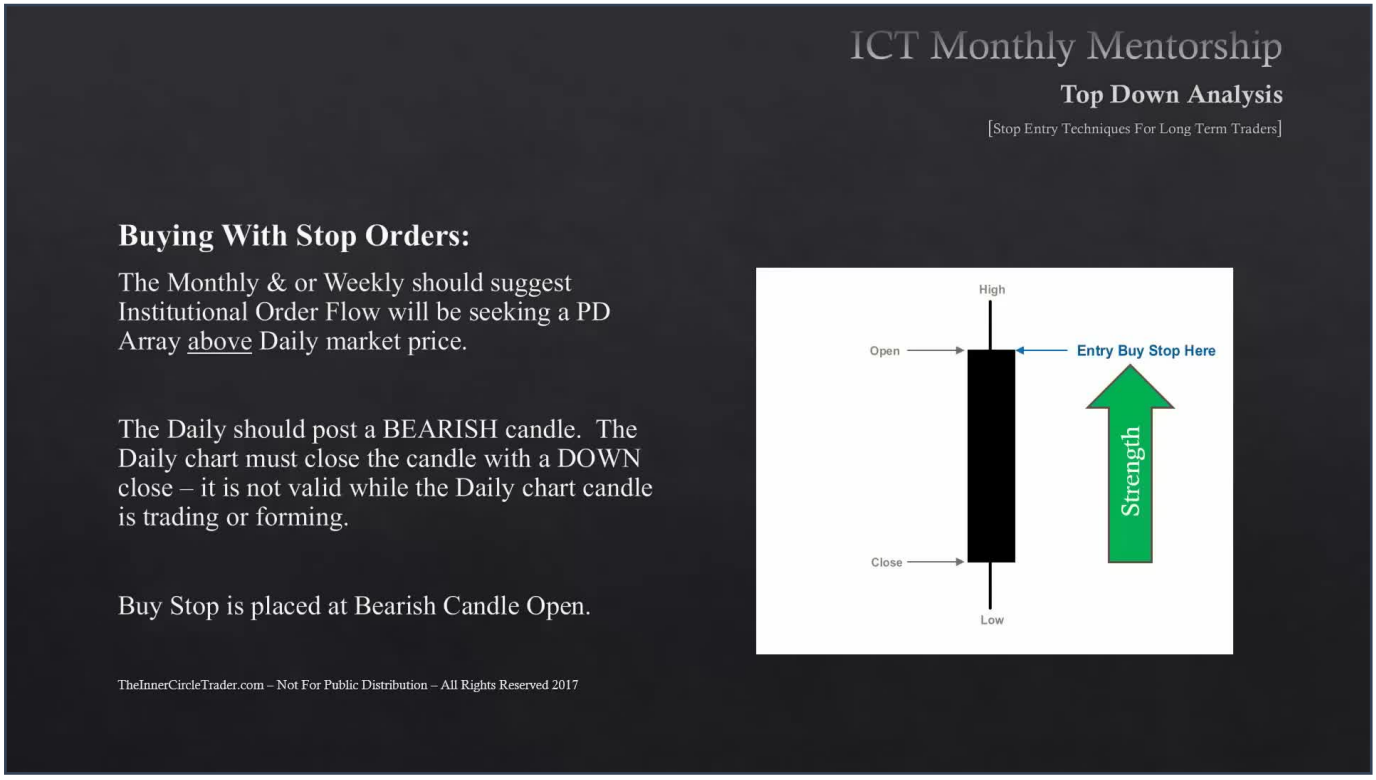
Again, you have to have a monthly and or weekly institutional order flow reference point in the form of a PD array. It means that has to be a weekly order block that's bearish above daily price. It has to be a fair value Gap above daily price in the form of a weekly or monthly chart, something on the monthly and weekly, preferably both, is leading you to believe that price will be drawn up there on that time frame. The daily you're going to be actually waiting for the move to go against that intended direction, that's why we're buying off of a down candle. We're using the opening price on the down candle. Now think about this for a second, order block Theory, this would be a bullish order block. A down candle is a bullish order block.



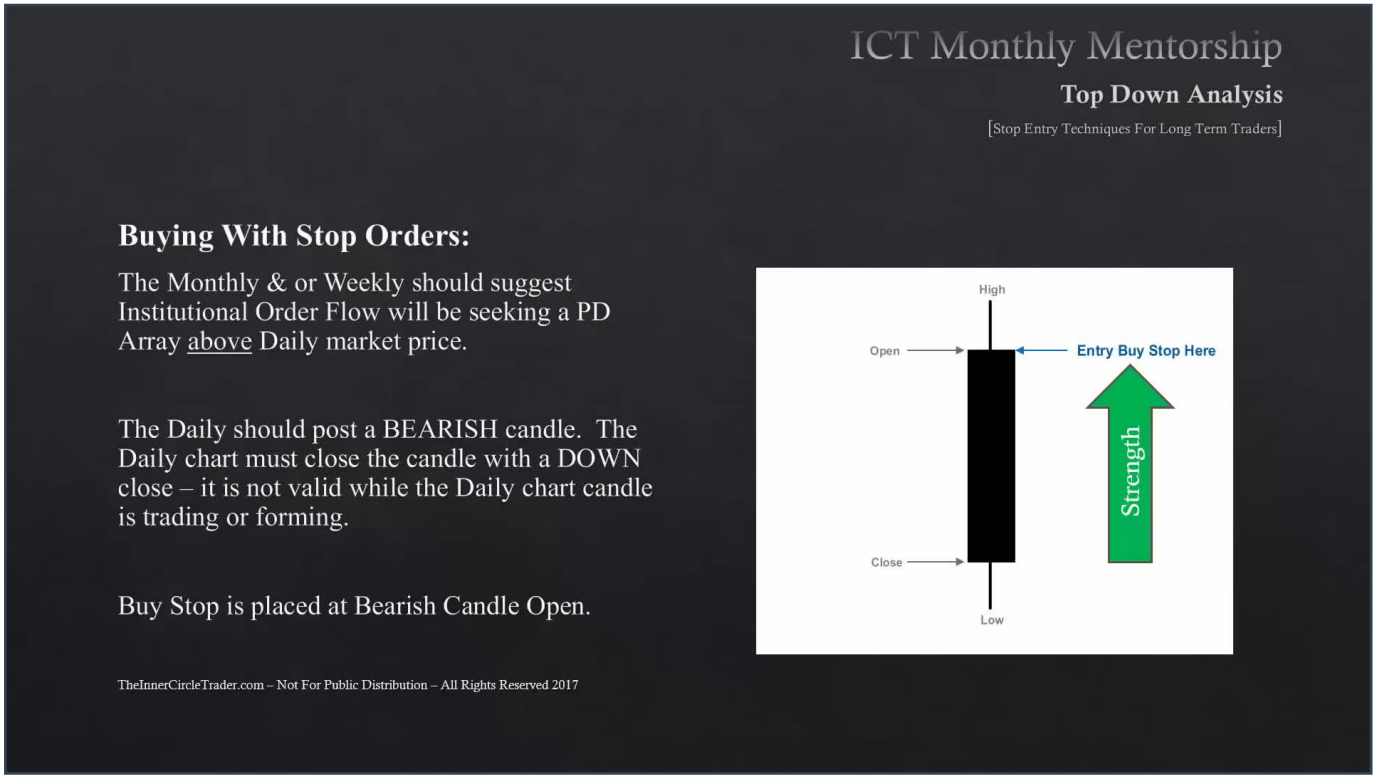
If price trades away from a down candle and we trade back down into that opening of the down candle, that's also what a future entry long position. So see what we're doing here, we're using this buying of strength idea. The mechanics behind it is that should price trade back up to that opening price and through it, we should be turning the corner and should be trading higher. But if it doesn't trade back above the opening price, you don't get a fill, you just got to wait for another new down candle and you keep moving forward. Every time you get a new successive down candle, you keep adding that new entry at the opening price.



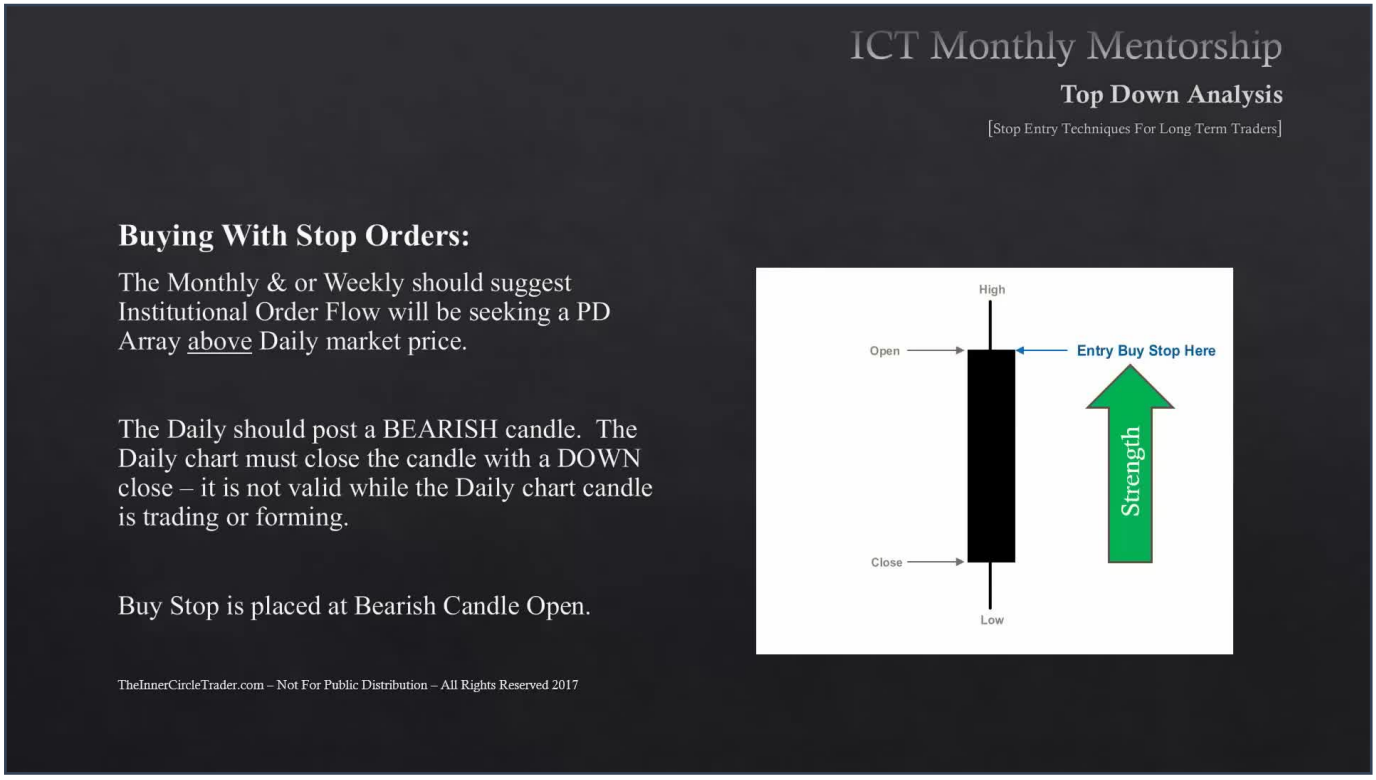
So you would be consistently moving forward one new trading day every time a new candle paints. And if you don't get a fill on the Daily, you just go to the next daily candle, once as long as there's another down candle, you keep doing it. You may miss moves, you may not get a fill, you may get filled and then eventually get stopped out. We'll talk about stops when we talk about trade management, but for now we're just focusing on the entry pattern and an entry concept using a daily time frame. And now think about this, we're actually dovetailing really nicely with order block Theory.



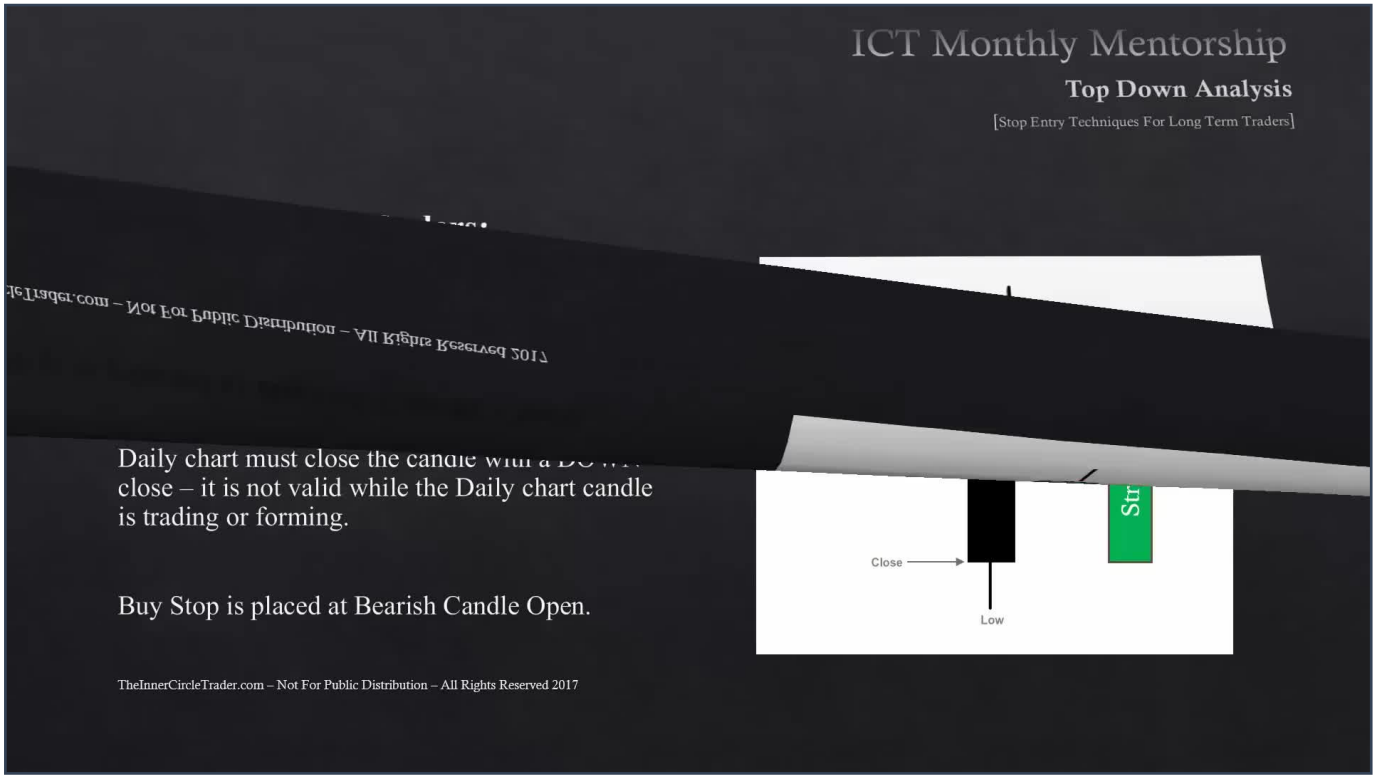
So if we're buying at the opening price on a down candle long-term, expecting monthly and or weekly PD arrays to be the draw on price, in other words something on the higher time frame charts are going to bring price higher, the daily charts going to submit to those higher time frame weekly and monthly ideas and they're going to trade up into those levels. Okay, but they won't just go straight up, they'll go up then come back down to that same opening price many times giving another opportunity to buy. So what you can do is when price moves away from the opening price and comes right back down, you are looking for confirmation, you're going to see new buying and that may be another opportunity for you to add new positions. But that's only in instances where if you've taken profits off.



In other words, once this buy entry has been executed and you're long, if you get several hundred Pips in your favor, you can take some of that position off with the expectation that you may end up seeing a retracement back to that same opening price. If it does, you can put that same position that you took off in partial profits right back on at that same opening price and it gives you opportunity to get basically the the average in same cost for that long price. Then you hold it for the remaining portion of your trade and you can do this every single time there's a new down candle that you enter on a buy stop at the opening price.



It's the same concept that's going forward every single time until you reach that monthly and or weekly PD array in the form of a premium market. So once it gets overbought, if you will, on those monthly and weekly charts, then as long as that's not there, we continuously follow along with the marketplace on a daily chart. Every down candle promotes new buying opportunities for smart money. The higher we get on the monthly and weekly range and get closer to those premium ranges, the less likely these candles are going to promote strong buying. So just be careful about that, you want to be buying preferably at equilibrium or less than the range that you would identify on the monthly and weekly charts.



Okay, selling with stop orders. Okay, the monthly and or weekly should suggest institutional order flow will be seeking a PD array below daily market price.

- The daily should post a bullish candle.

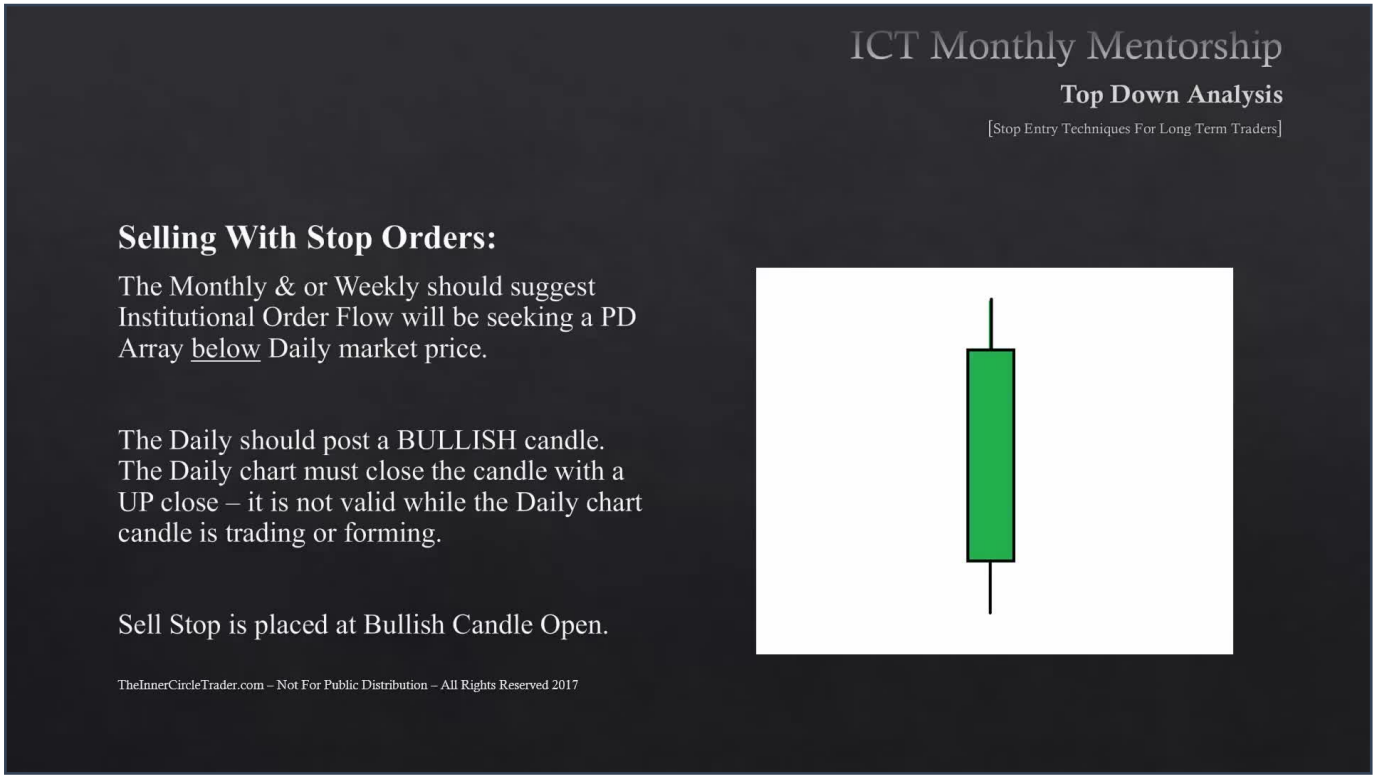
- The daily chart must close the candle with a up close.

- It is not valid while the daily chart candle is trading into or forming.

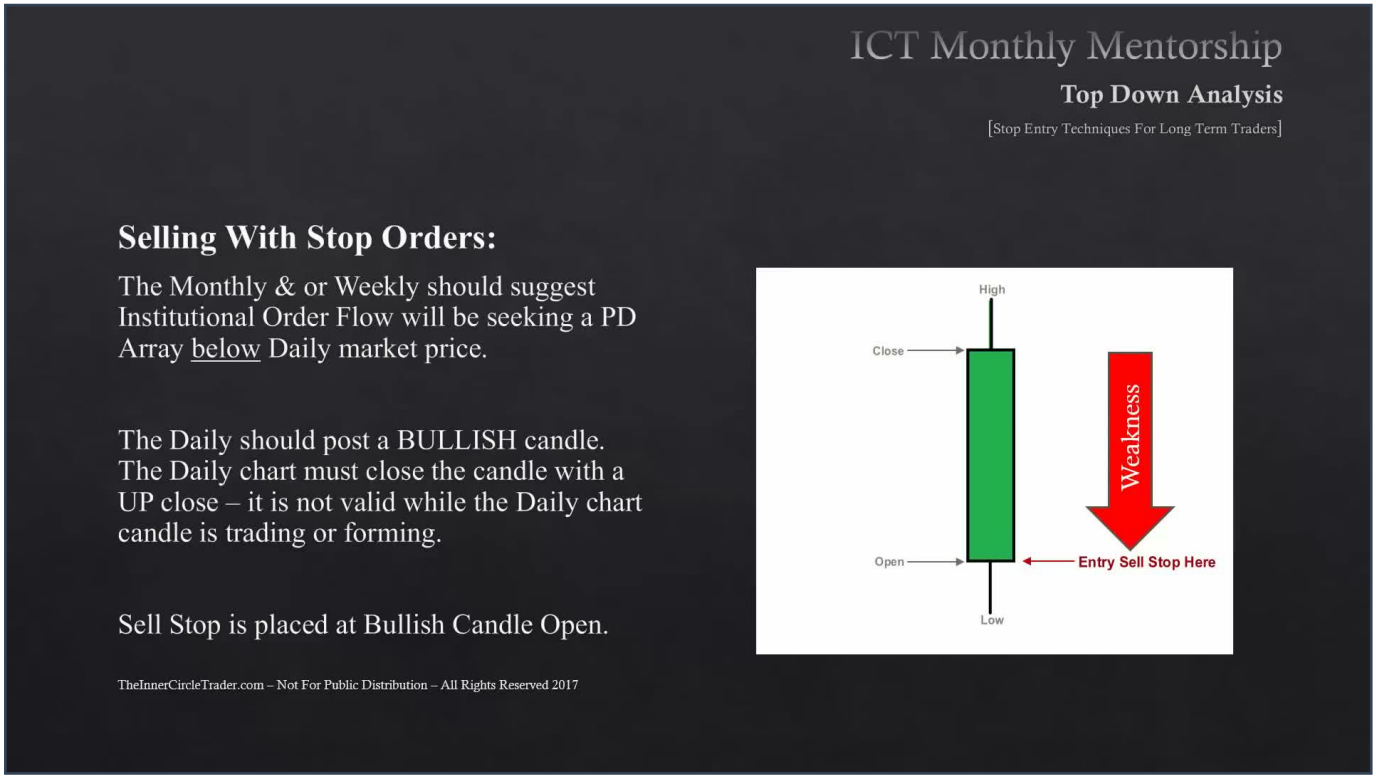
- The sell stop is placed at the bullish candles open.

IDENTIFYING THE SELL STOP ENTRY POINT ON A BULLISH CANDLE

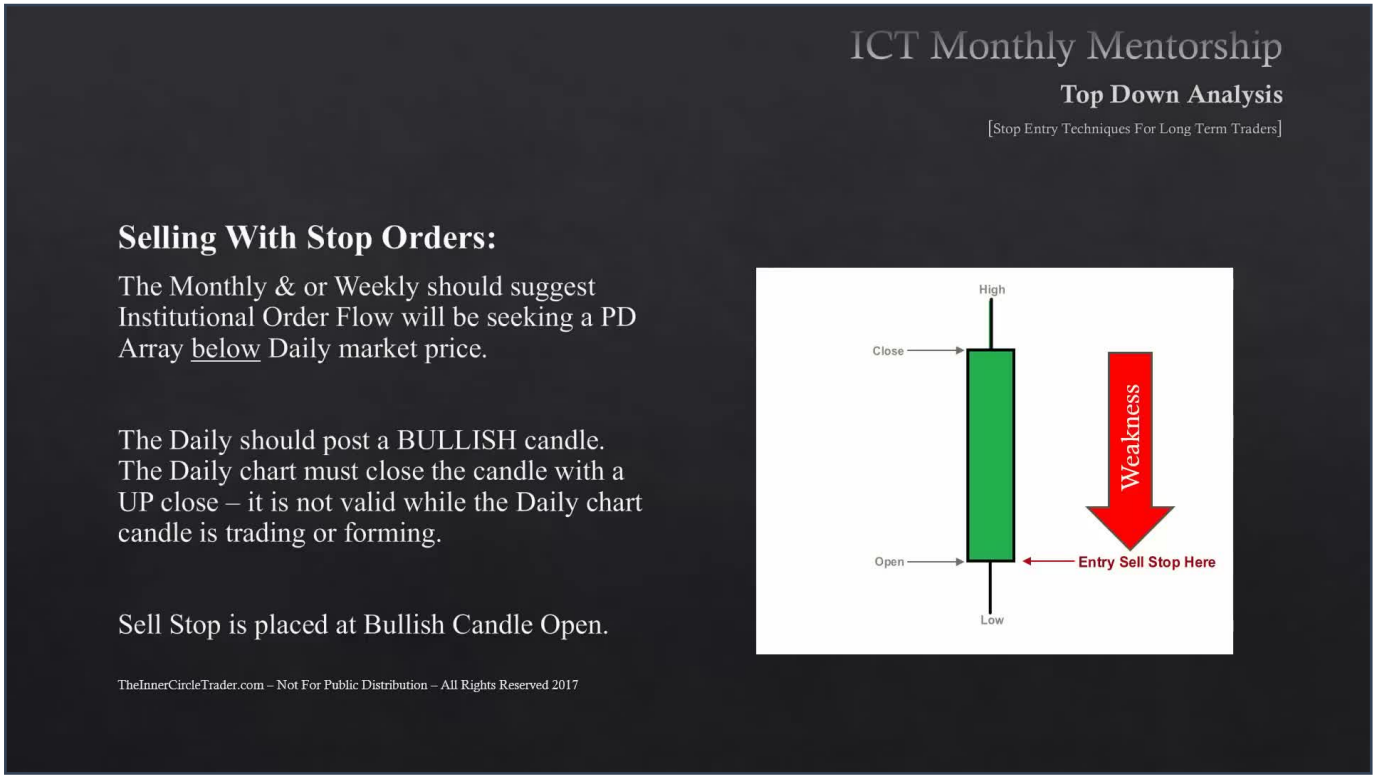
TIMESTAMP: 00:06:17



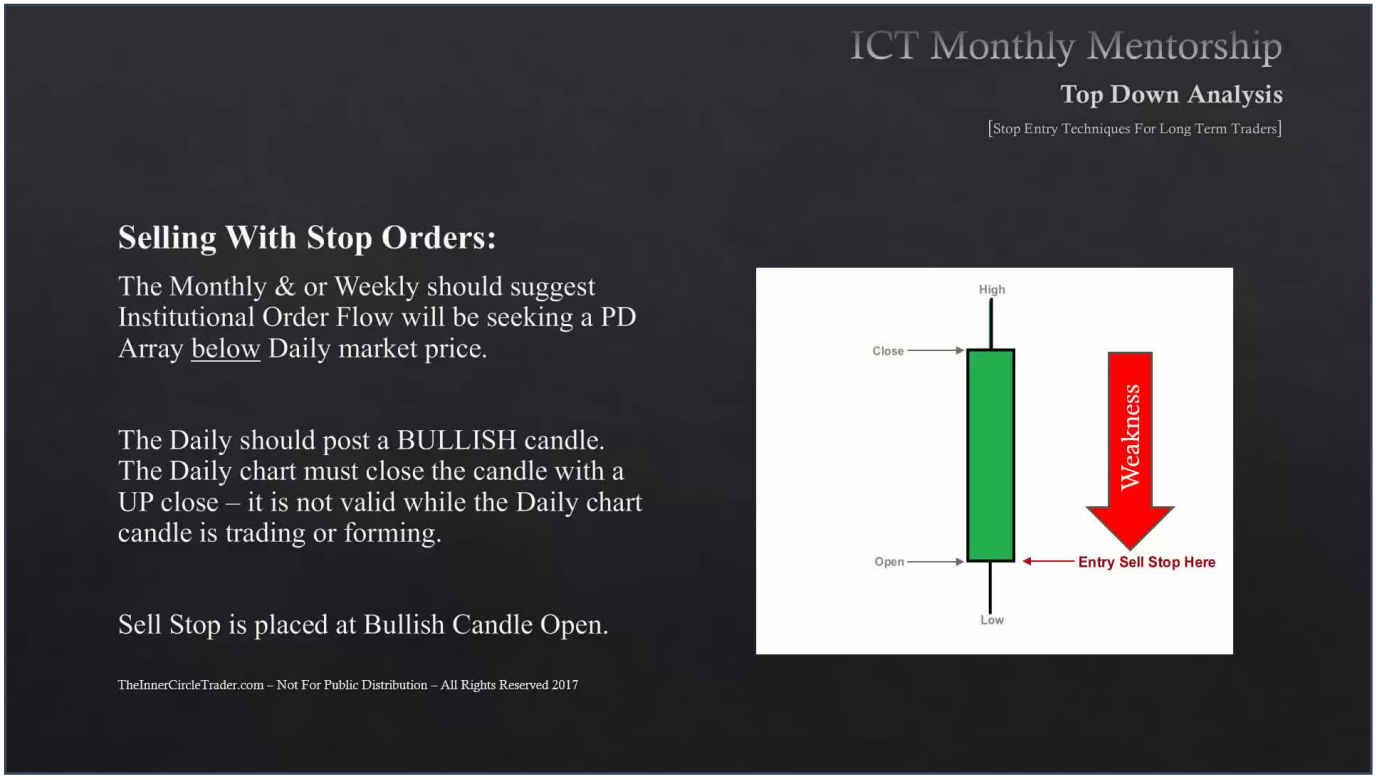
Here's your high, here's the high of the candle, the low of the candle, the close of the candle, the open of the candle. And right here is where you're going to place your sell stop for short entry. And the premise behind this is we're going to be expecting weakness to take us into the marketplace.



Now again, think about what we just showed you in terms of the buy stop on a down candle at the opening price. It's just like a return to a bullish order block because we buy at that opening price. This same premise here is the entry price technique that we use to go short at a bearish order block, which is the up candle right before the down price move. We're going to sell on a stop right at that opening price. And if we get profitability in our trade and it looks like we can see a retracement back to that same order block or same up candle in this case, we could get short again with the partial profit we've taken off.



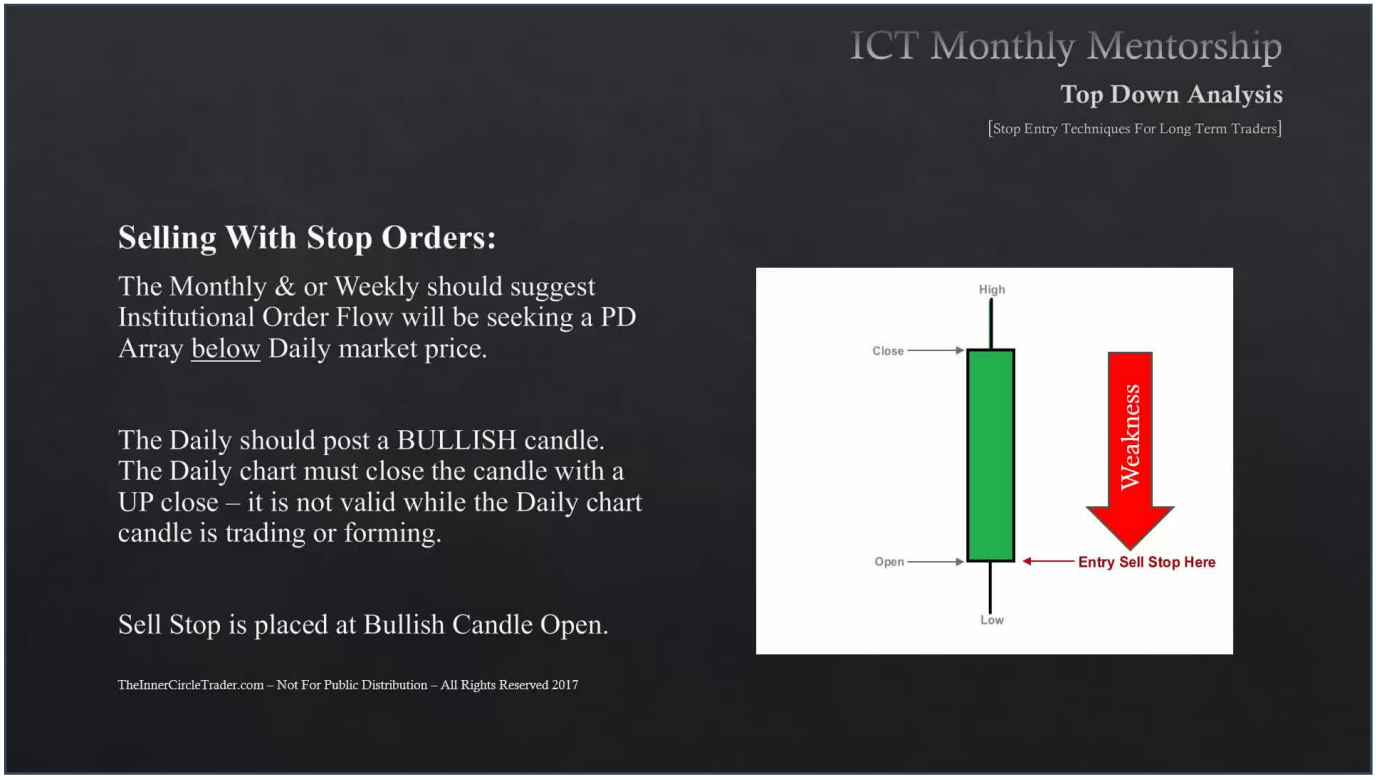
So for instance, say we go short on a daily chart and we get short on a stop at the opening price of this bullish candle, we could look for several hundred Pips in our favor in terms of profitability. Take a portion of it off, bank some profits. Then if we do get a retracement back to that same opening price, we can sell short again with that same portion we just took partial profits and reestablish that same initial position back on again at that same average price.



Again, the premise is we're expecting the market to be drawn lower from a monthly and weekly standpoint, so there's a PD array that's going to be drawing that weekly and monthly chart lower. Okay, so we're trading on the higher time frame monthly and weekly but we're executing on The Daily. So while the monthly and weekly are poised to go lower institutionally speaking, we're waiting for a move that's opposite the direction by having an up candle or a bullish candle. We're seeing the market have a short-term retracement or creating a short-term overbought scenario.

EFFECTIVENESS OF BULLISH CANDLE OPENING FOR SHORTS

TIMESTAMP: 00:08:22

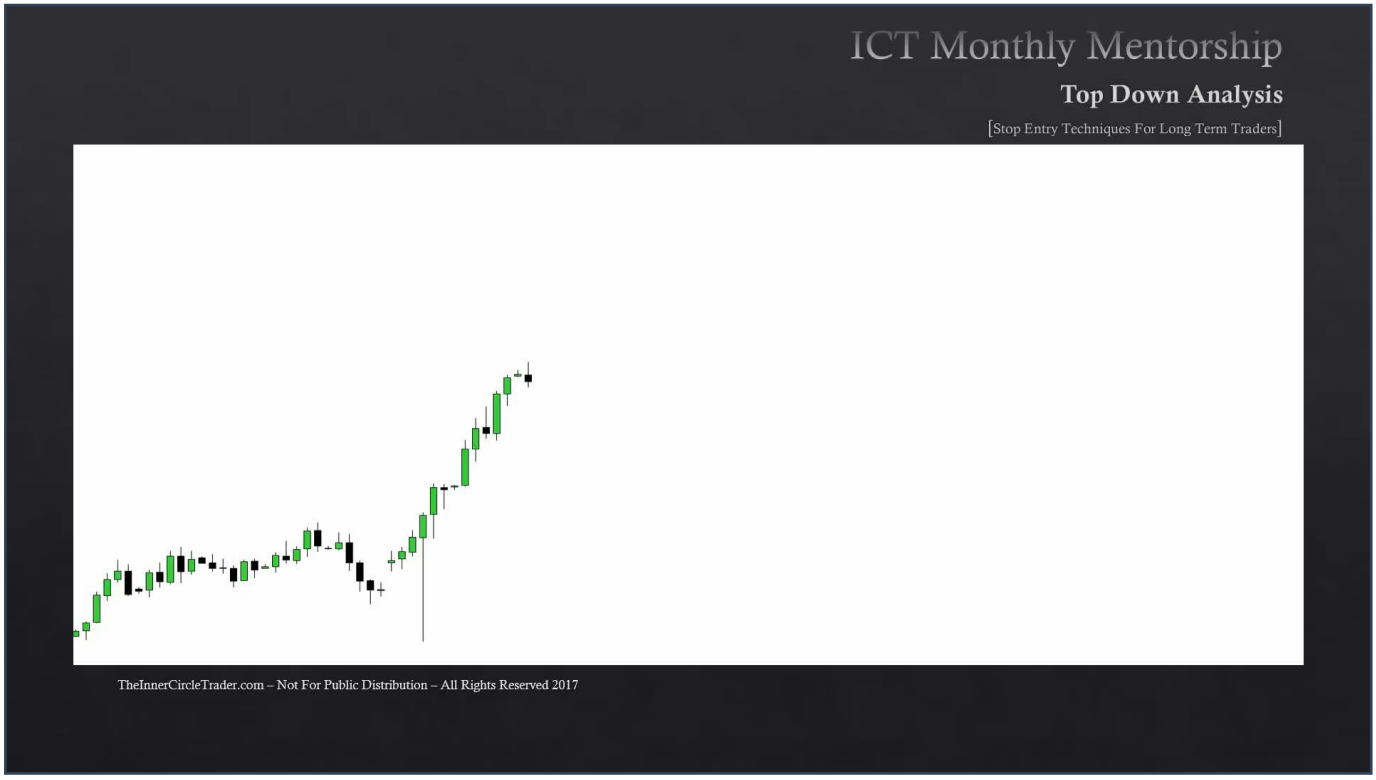


When we see the opening price on that up candle traded to, many times you're going to see that it never turns back from that low, it just keeps on going and and that opening price becomes a very good trigger for short selling or a sell program.

EXAMPLES: BUYING WITH STOP ORDERS - MISSED AND TRIGGERED ENTRIES

TIMESTAMP: 00:08:39

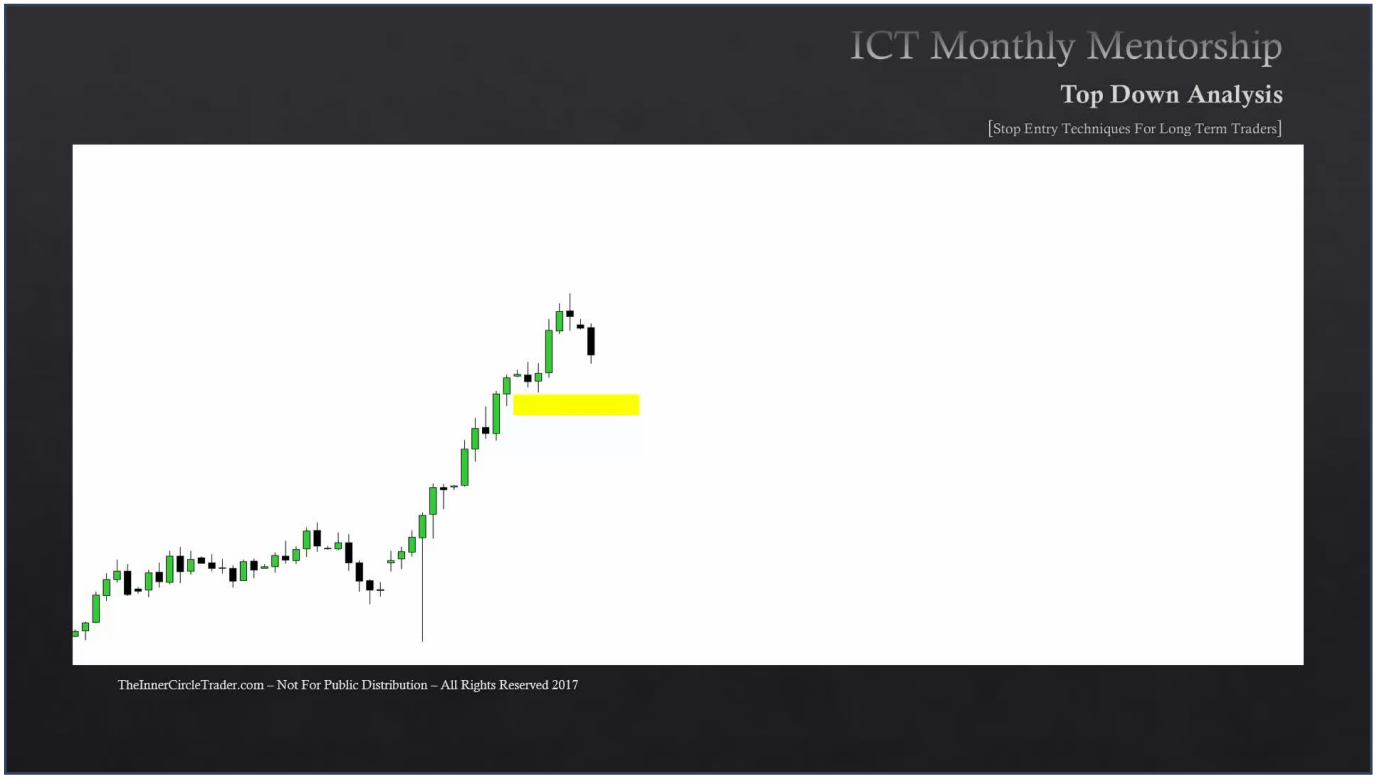
Okay, let's take a look at this few examples here. We have a nice move up here, we have a small little down candle and you'd be placing a buy stop at the opening price. So buy stop at that opening price on that daily candle. And we're going to say that we didn't get a fill here, so it would be a missed opportunity. We have a new down candle, place a buy stop on the opening price of the down candle. You see the next candle we opened lower than that down candle's open, so in other words, the very next green candle or bullish candle, it opened lower than our down candle or bearish candle's opening price. So our buy stop would have been triggered as that bullish candle trades up, so we would be triggered long in that position.



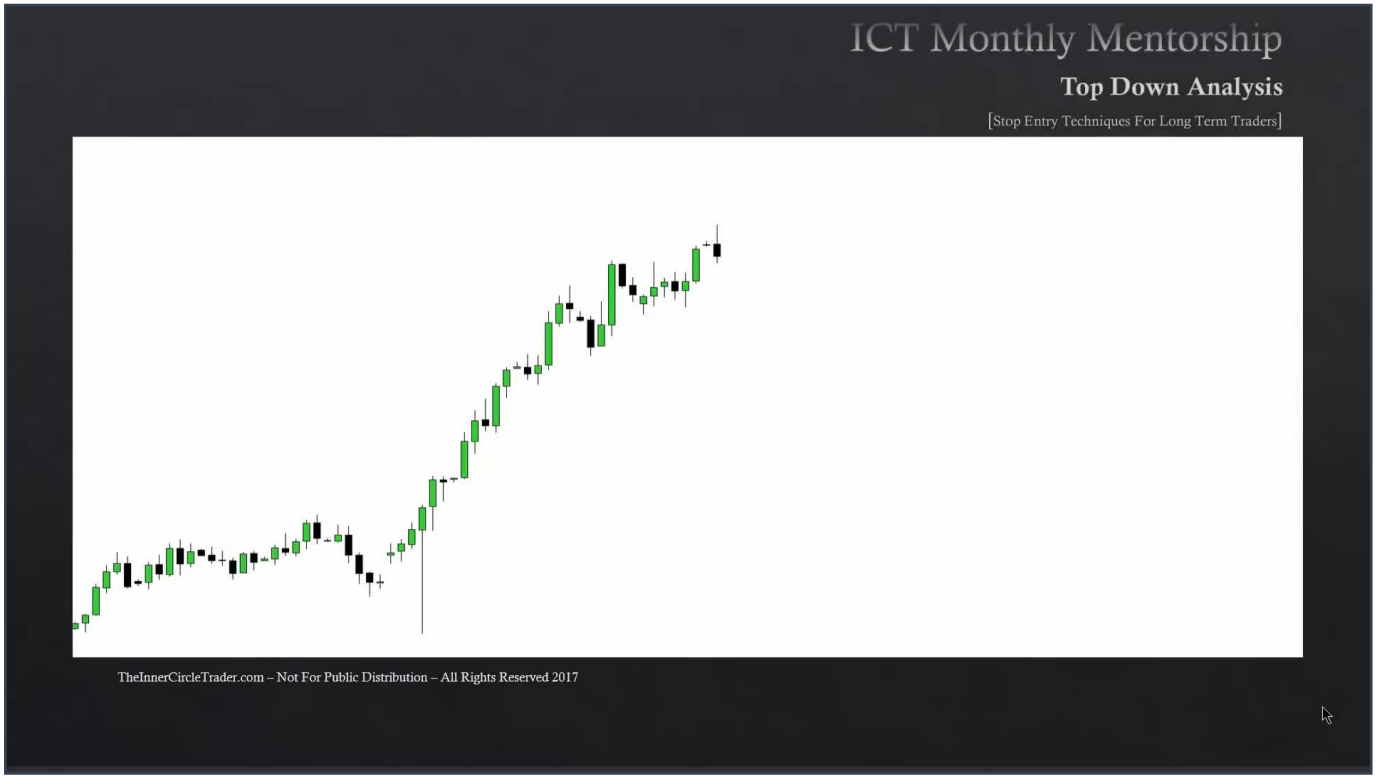
But now we have another down candle, so we could take a look at that opening price and should we see price trade back up to that level, we could be entered long again on a buy stop. Same thing happens here, market trades up through it and gives us a nice little pop. And here we have that successive one two three candles lower, all being Down Candles. Each time we have an opportunity to be net long. The one in the middle, the of the three Down Candles, you may have been tripped in long on that particular entry point, but your stop-loss, as you'll learn, will be below the swing low that's most recently been created on the daily chart and below a specific reference point which we'll outline in lesson eight.

EXAMPLES: ADDING TO LONG POSITIONS ON SUBSEQUENT DOWN CANDLES

TIMESTAMP: 00:10:27



But you could be long here and you can also then use this opening price as well to add to it. So you can have a buy stop on the opening price of this down candle. You see price does fill that and you'd be net long from that price. And we have another down candle, we can watch this buy stop and triggered in on a long entry at this opening price. Price does eventually make a lower candle and then that lower candle's opening price does get tripped two candles to the right of it and eventually sees another little move higher.



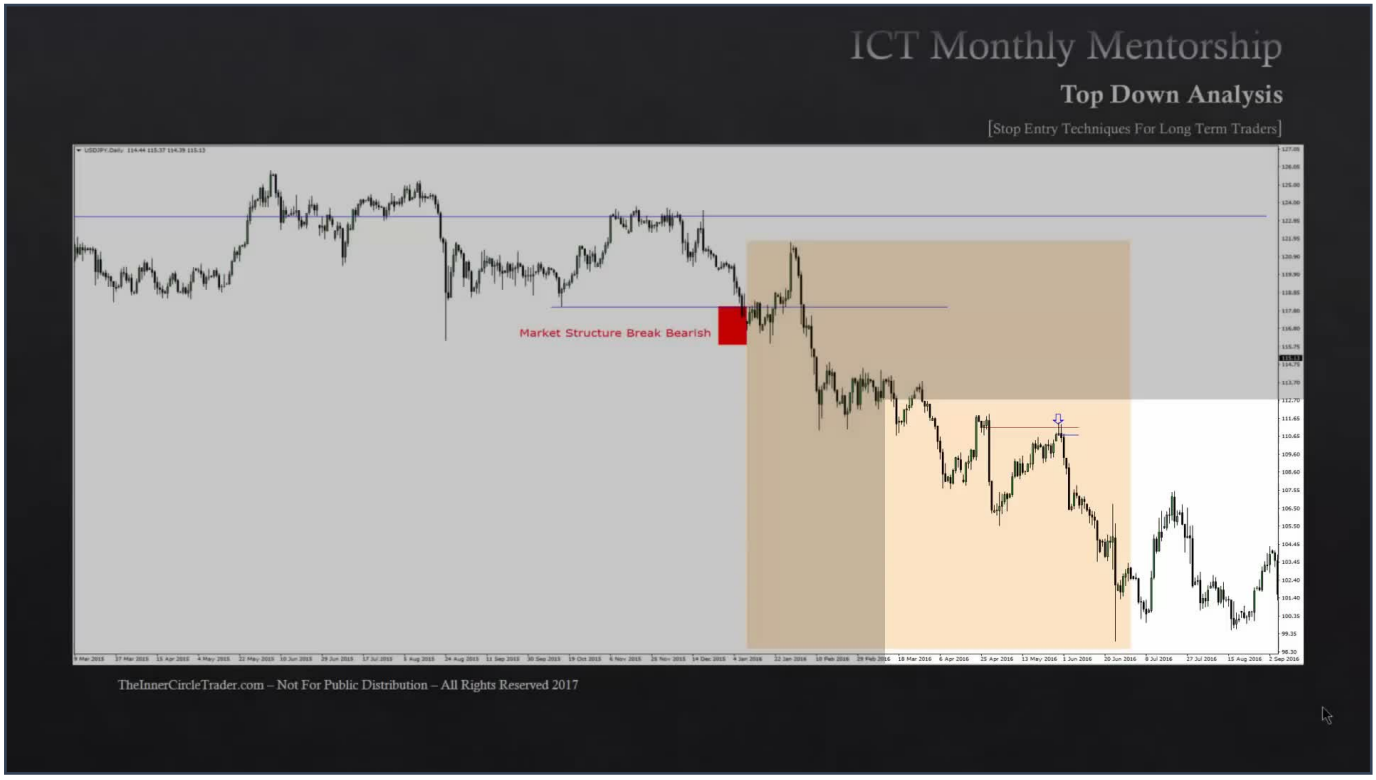
And we're going to take a look at now using this idea for selling on a stop. And here's the section of the Japanese Yen looking at an old high from 2007. You can see how price made a piercing of that 123.50 level and price rejected, had a break in Market structure and had a selloff. We're going to break that whole area down. In the shaded area, you see there's a market structure break here, that's the initial one, but there's a secondary one we're going to focus on this one primarily.

We're going to assume that you could see that this market on a daily time frame was getting in sync with the lower objectives for the monthly and weekly Dollar Yen. And in PD arrays, they would be looking for lower prices would draw a price on the daily chart lower. And I mapped out every one of the up candles that went back to the premium of the ranges that price was trading in for the daily chart. And every opening price once it's triggered, you would be net short.

EXAMPLES: MULTIPLE SHORT ENTRIES AND MITIGATION BLOCK

TIMESTAMP: 00:12:14

So there's 1 two 3 four five examples in here where each one of the up candles just a short time after its formation of the up candle, it trips you short for the Japanese Yen. And you can see another example here where the price trades back up to a mitigation block and the up candle you would look to sell short at the opening price and you see that down arrow indicating that was the candle that you'd be using. The very next candle you would be short. And that's that same level right there, just shown in a more higher time frame view of it, several hundred Pips again.



And this last one here over 1,000 Pips available in terms of downside potential. And again, this is is using the monthly weekly PD arrays as your directional bias and then using the up candles and Down Candles in relationship to using the the stop entry. In this case, we're using the selling on the stop at the opening of a up candle. And opportunity is is many times if you look at these candles here, you can see how they return back to those same candles you shorted from on a stop, they become bearish order blocks at a later time too. So you can actually put more position in in and you can build in larger positions if you start with a small amount allocated to the initial position you can build in another position. In other words, if you go with a half position or half of your traditional size, you can go and add more back in but have already profited on portions that otherwise may not have been viewed as an opportunity. So until we talk next time, I wish you good luck and good Trading.